Casa de Bolsa Interacciones

QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 22/02/2018)
MXN$44.40

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.845

MARKET CAP. (MXN MN)
208,822

DL VL TRADED (AV. MXN MN)
98.5

TARGET PRICE*
P$44 / Var. TP -0.9%

HOLD

*TP Under Review

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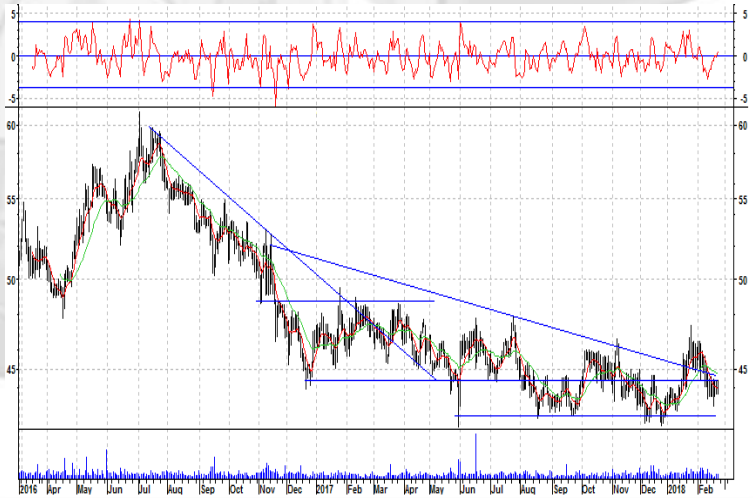
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Q417 Financial Report

Weak quarter, in line with expectations at the operating level - Bimbo's revenues increased slightly, affected by the North America division,, sales decreased 2% YoY, due to the quarterly MXN appreciation.

Lower EBITDA - The EBITDA margin suffered a significant contraction as a result of higher raw material costs in Mexico, and in the United States, as well as the company's acquisitions during the last quarter. This performance was in line with our expectations.

Net profit improved significantly, but was below our projections – Net Income increased 396.5% YoY, totalizing in MXN$427 million, vs our MXN$974 estimate. We believe that Bimbo's shares could remain under pressure after this report.



	Q417	Q416	Dif (%)
Sales	70,931	68,862	3.0%
Operating Income	4,420	3,509	26.0%
EBITDA	7,507	8,618	-12.9%
Net Income	427	86	396.5%

	4T17	4T16	Dif (bp)
Operating Mgn. (%)	6.2%	5.1%	114
EBITDA Mgn. (%)	10.6%	12.5%	-193
Profit Mgn. (%)	0.6%	0.1%	48

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2015	2016	2017	L12M
P/E	41.8x	37.5x	44.2x	45.1x
P/BV	3.7x	3.1x	2.8x	2.9x
EV/EBITDA	12.1x	10.3x	10.8x	11.0x

Forecasts (mxn mill.)	2015	2016	2017	L12M
Revenues	219,186	252,141	267,515	267,515
EBITDA	23,369	29,297	27,288	27,288
EBITDA Margin (%)	10.7%	11.6%	10.2%	10.2%
Net Income	5,172	5,899	4,630	4,630
Net Margin (%)	2.4%	2.3%	1.7%	1.7%
Net Debt	63,936	75,686	87,097	87,097
Net Debt / EBITDA	2.74	2.58	3.19	3.19

Source: Interacciones Research and the company

Q417 Financial Report

Revenue goes up slightly - Bimbo's consolidated sales grew 3% YoY (vs. + 4% E) to MXN$70.9 billion in Q417 thanks, to an organic growth in Mexico and the acquisition that the company carried out during the year.

In Mexico, sales increased 8% YoY (vs. + 7% E), supported mainly by higher volumes, both in the convenience store channel and in the traditional one, as well as rising prices, although below the inflation rate.

In Europe, Asia and Africa, revenues rose 49% YoY (vs. + 15% E) as a result of the acquisitions of Bimbo QSR (formerly East Balt Bakeries), Ready Roti and Grupo Adghal. However, in North America, which is Bimbo's largest division, sales decreased 2% YoY, due to the appreciation of the Mexican peso against the USD during the quarter, which offset the acquisition of Bimbo QSR.

Latin America's revenues were affected by change in the accounting method in the Venezuelan operation, falling 9% YoY (vs. -5% E).

Margin contraction - Bimbo's gross margin was 52.8% in Q417, down from 53.9% in Q416, due to higher raw material costs in Mexico and the United States, as well as the incorporation of Bimbo QSR, Ready Roti and Grupo Adghal. Expenses increased 2% YoY, due to higher distribution expenses in Canada, in addition to the aforementioned acquisitions.

This translated into an EBITDA margin of 10.6% in Q417, compared to 12.5% in Q416. Therefore, Bimbo's consolidated EBITDA fell 12.9% YoY (vs. -12% E). The biggest impact was in the Europe, Asia and Africa divisions, as it registered a negative EBITDA in the current quarter. On the other hand, the company mentioned that its Argentine operations presented a positive EBITDA during the quarter.

Net profit below expectations - Bimbo's net income was MXN$427 million (vs. MXN$974 million E) in Q417, higher than the MXN$86 million of the previous year. This was attributed to a lower level of "other expenses", as well as greater foreign exchange gains.

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*

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